



Client Due Diligence & KYC Refresh Policy

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Effective Date: 1 February 2026

1. Scope

This policy applies to all retail, corporate, and institutional clients of Katalaxy Bank across all jurisdictions in which the Bank operates.

This document governs periodic review and event-driven refresh of Know Your Customer (KYC) records.

2. Definitions

KYC Refresh

Update and re-verification of client identity, ownership structure, risk classification, and supporting documentation.

High-Risk Client

Client classified as High Risk under AML Risk Rating Framework (see KB-AML-02).

Trigger Event

Event that requires immediate reassessment of client due diligence.

3. Periodic Review Requirements

3.1 Retail Clients

- Standard Risk: Review every 36 months
- Medium Risk: Review every 24 months
- High Risk: Review every 12 months

3.2 Corporate Clients

- Standard Risk: Review every 24 months
- Medium Risk: Review every 18 months
- High Risk: Review every 12 months

3.3 Politically Exposed Persons (PEPs)

All PEPs must undergo KYC refresh every 12 months regardless of baseline risk classification.

4. Event-Driven KYC Refresh Triggers

An immediate KYC refresh must occur upon occurrence of any of the following:

4.1 Change in Ownership

- Change in Ultimate Beneficial Ownership (UBO) exceeding 10%
- Addition or removal of controlling shareholder

4.2 Change in Control

- Change in board composition involving Chair, CEO, or majority directors
- Change in authorised signatories

4.3 Change in Business Activity

- Material change in business model
- Entry into new high-risk jurisdiction

4.4 Transaction Behaviour

- Activity inconsistent with stated business profile
- Significant unexplained increase in transaction volume (>50% quarterly variance)

4.5 Adverse Media

- Credible adverse media relating to financial crime
 - Regulatory enforcement action involving client
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5. Required Evidence for KYC Refresh

Upon trigger, relationship manager must obtain:

5.1 Identity Verification

- Updated government-issued ID (individual clients)
- Certificate of incorporation (corporate clients, if amended)
- Proof of address dated within last 3 months

5.2 Ownership Verification

- Updated shareholder register
- UBO declaration form signed and dated
- Corporate structure chart

5.3 Risk Reassessment

- Updated AML Risk Assessment Form
- Sanctions screening results (dated within 7 days of refresh)
- PEP screening results (dated within 7 days of refresh)

5.4 Source of Funds (High Risk Only)

- Documentary evidence of source of funds
 - Recent bank statements (last 3 months)
 - Tax return or audited financial statements
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6. Escalation Requirements

If new risk classification increases to High Risk:

- Notify Compliance within 2 business days
 - Obtain Compliance sign-off before continuation of high-risk relationship
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7. Documentation Standards

All refreshed documentation must:

- Be uploaded to Client Due Diligence System within 5 business days
 - Include clear audit trail
 - Record reason for refresh trigger
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8. Non-Specified Areas

This policy does not define:

- Frequency of enhanced monitoring outside formal refresh
- Specific jurisdictional variations

Such matters governed under separate AML Monitoring Policy (KB-AML-07).